Amazon.com, Inc.

AMZN NASDAQ

Buy	$253.42 ▼ 0.26%	12M Price Target $310.00	52-Week Range $196.00 – $287.20	Market Cap $2.73T

AMZN: Quiet Drift Lower Ahead of Earnings — Setup Looks Bullish

WHAT HAPPENED

- AMZN quietly bled lower for the 5th straight session — down about 3.4% from last Thursday's $262 on light volume (today's 18M shares is way below the 30M+ we saw earlier in the week). Light volume on a drift lower usually means there's no real seller panic — it's just profit-taking into the Q3 earnings print expected in a couple weeks.
- The weird tell: everything else ripped today. Healthcare +2.5%, Materials +1.5%, even Consumer Discretionary (AMZN's own sector) up 1.3% — and AMZN still finished red. That's AMZN-specific underperformance, not a market problem.

WHY IT MATTERS

Here's what I think is really going on: the options flow is screaming bullish (put/call of 0.42 means traders are buying more than 2x as many bullish call bets as bearish put bets), and that huge unusual call buy at the $252.50 strike expiring this month — 17,000 contracts, nearly 8x the existing open interest — looks like somebody positioning for an earnings pop. When the stock drifts down on no news while smart money loads calls, that's typically a pre-earnings coil. The CEO of Worldwide Stores selling 1,000 shares is noise — that's a $251K sale from a guy who probably has $50M+ in stock, likely a scheduled 10b5-1 trade. Bigger picture: AMZN is sitting at 63% of its 52-week range with no obvious catalyst to break down, which usually means the next real move is up on the next piece of good news.

POLICY & POLITICAL WATCH

Two things to watch in DC right now: (1) the ongoing tariff regime on Chinese goods — this is actually a net positive for Amazon because they can absorb cost increases through scale and private-label substitution, while the millions of third-party sellers on their marketplace eat the pain (and Amazon still collects the fee). (2) The FTC antitrust case grinds on, and the Trump administration's FTC has been somewhat less aggressive than Khan's version — if we see any signal of settlement talks or narrowed scope, that removes a $200B overhang. Also keep an eye on federal cloud contracts: the JWCC (Joint Warfighting Cloud Capability) continues to allocate work, and AWS is one of four prime vendors getting a cut.

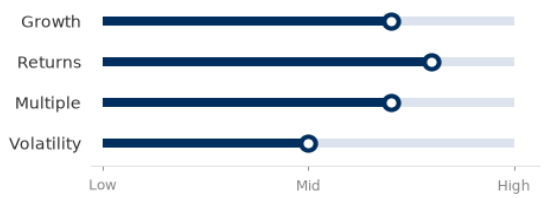
IS IT EXPENSIVE?

At $253, AMZN trades at roughly 37x forward earnings — meaning you're paying $37 for every $1 of profit they're expected to make next year. That sounds expensive, but AWS alone (growing ~19% with 35%+ margins) justifies a chunk of it, and the retail business is finally throwing off real operating cash. Compared to MSFT at ~33x and GOOGL at ~22x, AMZN isn't the cheapest hyperscaler, but it's the one with the most retail margin upside left to unlock — that's the asymmetry.

Key Data

Price (USD)	**$253.42**
12M Price Target	**$310.00**
Upside / (Downside)	**+22.3%**
Market Cap	**$2.73T**
FY2026E Revenue	**$743M**
FY2027E Revenue	**$825M**
FY2026E EPS	**$6.85**
FY2027E EPS	**$8.20**
Fwd P/E	**37.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

AMZN — Amazon.com, Inc. | October 15, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$275.00**	$260.00	**$240.00**
6 Months	**$310.00**	$285.00	**$230.00**
1 Year	**$340.00**	$310.00	**$220.00**
2 Years	**$400.00**	$350.00	**$240.00**
5 Years	**$550.00**	$450.00	**$280.00**
10 Years	**$900.00**	$650.00	**$350.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+6% over 5 days) is on fire — likely some combination of drug pricing clarity and defensive rotation. Consumer Staples strong too (+4.3% over 5 days), which signals investors are hedging toward safety.

COOLING OFF: Tech/Comm Services is flat-to-weak on the 5-day — the mega-cap trade is pausing after a huge run, and AMZN is caught in that pause.

ROTATION WATCH: Money is clearly rotating from growth tech into defensive sectors (healthcare, staples) and real assets (materials, real estate). That's usually a late-cycle move — investors preparing for either slower growth or rate cuts. For AMZN specifically, this is a short-term headwind but doesn't change the fundamental story.

RELATED PLAY: If you believe in the AWS AI buildout, the data center REITs (DLR, EQIX) and power providers (VST, CEG) are the picks-and-shovels play — they sell the physical infrastructure Amazon needs to execute.

WHO'S WINNING IN THIS SPACE?

- COST (Costco): Benefiting from consumer trading down and membership moat during tariff uncertainty
- WMT (Walmart): Same consumer-defensive story plus their own ad business is quietly becoming a real profit driver

AMZN CONTEXT: AMZN is lagging the consumer discretionary group this week, which is unusual given it's the biggest weight. That lag tells me the market is treating AMZN as a tech stock right now (and tech is pausing), not a consumer stock — so the next earnings print on AWS matters way more than retail numbers for near-term price action.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Bullish setup into earnings with options flow confirming, and the business fundamentals are the strongest they've been in 3 years.

POSITION SIZE: 4-6% of portfolio — this is a core holding caliber name, not a trade. Big enough to matter, not so big you can't sleep.

ENTRY POINTS: Current $253 is fine for a starter. I'd add aggressively if we see $240-245 on any pre-earnings jitters.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for: AWS growth re-accelerating above 20% on AI monetization, which should happen in the next 2-3 quarters.

WHEN TO BAIL: AWS growth drops below 15% YoY, FTC antitrust case gets a surprise adverse ruling, or Jassy announces a major strategic pivot that signals internal problems.

HEDGING: If you want sleep-well-at-night protection, buy a put option at $230 strike expiring in January — think of it as insurance that pays off if the stock crashes 10%+. Costs you a small premium but caps your downside.

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